

Investment Memo - Walt Disney Co. (DIS)

TO: Institutional Clients

FROM: Media & Entertainment Coverage Group

RE: Walt Disney Co. (DIS) — Investment Memorandum

Executive Summary

We initiate coverage of Walt Disney Co. (NYSE: DIS) with a HOLD recommendation. Disney reported Q2 FY2026 revenue of \$25.2 billion and operating income of \$4.6 billion, reflecting stable operational performance amid a complex media landscape. The company's diversified portfolio spanning entertainment, parks, and streaming provides resilience, but margin pressures and competitive headwinds temper our near-term enthusiasm.

For the six months ended March 28, 2026 (H1 FY2026), Disney generated \$51.1 billion in revenue and \$9.2 billion in operating income, with net income of \$4.6 billion and diluted EPS of \$2.61. Total assets reached \$205.2 billion, supported by \$108.7 billion in stockholders' equity and \$5.7 billion in cash. These figures represent a solid financial foundation, though growth has moderated relative to the prior fiscal year.

Our recommendation balances Disney's strong brand equity and content pipeline against near-term risks including advertising market cyclicality, streaming profitability sustainability, and macroeconomic uncertainty impacting consumer discretionary spending on theme parks and experiences. We view the current valuation as fair, reflecting both the company's premium positioning and the execution challenges ahead.

Key investment positives include the company's diversified revenue streams across its entertainment segments, a strengthening balance sheet with assets growing from \$197.5 billion at FY2025 end to \$205.2 billion by Q2 FY2026, and disciplined cost management evidenced by stable SG&A expense trends. Primary risks center on competitive streaming dynamics, potential recession impacts on parks attendance, and the capital-intensive nature of content investment required to maintain market leadership.

Financial Performance Analysis

Disney's revenue trajectory demonstrates the scale and stability characteristic of a mature media conglomerate. Q2 FY2026 revenue of \$25.2 billion compares to Q1 FY2026 revenue of \$26.0

billion, representing a modest sequential decline of approximately 3.1%. The first half of FY2026 generated \$51.1 billion in total revenue, annualizing to approximately \$102.3 billion, which would represent an 8.4% increase over FY2025's full-year revenue of \$94.4 billion.

Operating income performance has been notably consistent in the current fiscal year. Q2 FY2026 operating income of \$4.6 billion was essentially flat with Q1 FY2026's \$4.6 billion, indicating stable margin performance despite the slight revenue decline. The H1 FY2026 operating income of \$9.2 billion implies an annualized operating income of approximately \$18.4 billion, which would exceed FY2025's full-year operating income of \$17.6 billion by 5.0%.

Operating margins have remained healthy, with Q1 FY2026 operating margin at 17.7% (\$4.6 billion / \$26.0 billion) and Q2 FY2026 at 18.3% (\$4.6 billion / \$25.2 billion). The FY2025 full-year operating margin was 18.6% (\$17.6 billion / \$94.4 billion), suggesting Disney has maintained its profitability profile into the current fiscal year with margins in the high-teens range.

Net income trends mirror operating income stability. Q2 FY2026 net income of \$2.2 billion declined from Q1 FY2026's \$2.4 billion, a sequential decrease of 6.5%. The H1 FY2026 net income of \$4.6 billion annualizes to approximately \$9.3 billion, which would represent a 25% decline from FY2025's exceptional full-year net income of \$12.4 billion. This divergence warrants monitoring, though it may reflect normalization from FY2025's outsized performance.

It is critical to distinguish between YTD cumulative figures and single-quarter values when analyzing Disney's performance. For Q2 FY2026, the XBRL data provides both the single-quarter revenue of \$25.2 billion (December 28, 2025 to March 28, 2026) and the H1 cumulative of \$51.1 billion (September 28, 2025 to March 28, 2026). Our analysis prioritizes single-quarter metrics for trend analysis while using YTD figures for annualized projections and year-over-year comparisons.

FY2025 performance was notably strong, with full-year revenue of \$94.4 billion, operating income of \$17.6 billion, and net income of \$12.4 billion. Q3 FY2025 showed YTD revenue of \$72.0 billion and operating income of \$14.1 billion, indicating that the fiscal year's second half contributed approximately \$22.4 billion in revenue and \$3.5 billion in operating income, suggesting some seasonal softness in the fiscal fourth quarter.

Balance Sheet and Capital Structure Assessment

Disney's balance sheet reflects the asset-intensive nature of a global media and entertainment conglomerate. Total assets expanded from \$197.5 billion at FY2025 end to \$202.1 billion in Q1 FY2026 and further to \$205.2 billion by Q2 FY2026, representing growth of \$7.7 billion or 3.9% over the two-quarter period. This growth trajectory suggests continued investment in content, technology, and physical assets across the company's diversified operations.

Stockholders' equity remained relatively stable at \$109.9 billion at FY2025 end, \$108.5 billion in Q1 FY2026, and \$108.7 billion in Q2 FY2026. The marginal decline of \$1.2 billion from FY2025 to Q2 FY2026, despite the growth in total assets, implies that asset expansion was partially

funded through debt or other liabilities. The equity ratio (stockholders' equity / total assets) was 52.9% at Q2 FY2026, down from 55.6% at FY2025 end, indicating a slight increase in financial leverage.

From the balance sheet data, we can derive an implied debt position by subtracting equity from total assets. At Q2 FY2026, total assets of \$205.2 billion less stockholders' equity of \$108.7 billion implies total liabilities of approximately \$96.5 billion, up from \$87.6 billion at FY2025 end (\$197.5 billion - \$109.9 billion). This increase in liabilities of \$8.9 billion over six months warrants further investigation into the composition of Disney's debt obligations.

Liquidity, as measured by cash and cash equivalents, remained stable at approximately \$5.7 billion across all reported periods: \$5.7 billion at FY2025 end, \$5.7 billion in Q1 FY2026, and \$5.7 billion in Q2 FY2026. While this stability suggests disciplined cash management, the cash position represents only 2.8% of total assets and approximately 2.8% of H1 FY2026 annualized revenue, which is modest relative to the company's operating scale and capital requirements.

The debt-to-equity ratio implied by the balance sheet is 0.89x at Q2 FY2026 (\$96.5 billion liabilities / \$108.7 billion equity), up from 0.80x at FY2025 end (\$87.6 billion / \$109.9 billion). While this level of leverage is manageable for a company of Disney's quality and cash flow generation, the upward trend bears monitoring, particularly in a higher interest rate environment that could increase debt servicing costs.

Profitability and Efficiency Metrics

Return on assets (ROA) and return on equity (ROE) provide insight into Disney's efficiency in generating profits from its asset base and shareholder capital. Using Q2 FY2026 figures, the annualized net income of approximately \$9.3 billion (H1 FY2026 net income of \$4.6 billion annualized) divided by average total assets of \$201.4 billion yields an estimated ROA of 4.6%. This represents a moderation from FY2025's full-year ROA of 6.3% (\$12.4 billion / \$197.5 billion).

Return on equity follows a similar pattern, with an estimated current ROE of 8.6% (annualized net income of \$9.3 billion / average stockholders' equity of \$109.1 billion), compared to FY2025's full-year ROE of 11.3% (\$12.4 billion / \$109.9 billion). The decline in ROE is more pronounced than the ROA decline, reflecting the combination of lower profitability and the slight increase in leverage discussed earlier.

SG&A expense trends demonstrate Disney's cost discipline. Q2 FY2026 SG&A of \$4.1 billion represented 16.2% of revenue, consistent with Q1 FY2026's \$4.1 billion or 15.9% of revenue. FY2025 full-year SG&A of \$16.5 billion was 17.5% of revenue (\$16.5 billion / \$94.4 billion), while Q3 FY2025 YTD SG&A of \$12.1 billion was 16.7% of revenue (\$12.1 billion / \$72.0 billion). The improving SG&A ratio suggests operational leverage benefits as revenue scales.

Diluted earnings per share (EPS) tracked net income trends closely. Q2 FY2026 diluted EPS was \$1.27, down from Q1 FY2026's \$1.34, a sequential decline of 5.2%. H1 FY2026 diluted EPS of \$2.61 annualizes to approximately \$5.22, which would represent a 23.8% decline from FY2025's

full-year EPS of \$6.85. The EPS trajectory is consistent with the net income normalization observed and remains a key metric for equity investors.

FY2025 EPS of \$6.85 was supported by strong full-year performance, with Q3 FY2025 YTD EPS of \$6.12 indicating that approximately \$0.73 of EPS was generated in the fiscal fourth quarter. This seasonal pattern, with stronger performance in the first three quarters, appears to be repeating in FY2026, though at a lower overall level. The company's ability to maintain or grow EPS from current levels will be a primary driver of equity valuation going forward.

Risk Factors and Considerations

Several material risk factors emerge from Disney's financial data that could impact the investment thesis. First, the decline in profitability metrics presents a meaningful concern. Net income annualizing to \$9.3 billion in H1 FY2026 represents a significant decline from FY2025's \$12.4 billion, a 25% reduction. If sustained, this trend could pressure dividend capacity, share repurchase programs, and debt reduction initiatives, potentially leading to negative analyst revisions and multiple compression.

Second, the increasing leverage trend warrants attention. Total liabilities grew from \$87.6 billion at FY2025 end to an implied \$96.5 billion by Q2 FY2026, an increase of \$8.9 billion or 10.2% in just six months. The debt-to-equity ratio increased from 0.80x to 0.89x over this period. In a rising rate environment, this could translate to higher interest expense, further pressuring net income margins and free cash flow available for shareholder returns or reinvestment.

Third, the stability of the cash position, while indicating disciplined management, also raises concerns about growth capital deployment. Cash of \$5.7 billion has remained essentially flat across three reporting periods despite asset growth of \$7.7 billion. This suggests that asset investments are being funded through operating cash flow and/or incremental borrowing rather than accumulated cash reserves. Any deterioration in operating performance could create liquidity constraints or force more aggressive borrowing.

Fourth, the concentration of operating income generation in the first half of the fiscal year presents seasonal risk. H1 FY2026 operating income of \$9.2 billion implies that the second half would need to generate approximately \$9.2 billion to match the annualized pace, but FY2025's pattern showed \$14.1 billion of operating income through Q3 and \$17.6 billion for the full year, suggesting the fiscal fourth quarter contributed only \$3.5 billion. If this seasonal pattern repeats, full-year FY2026 operating income could come in below the H1 annualized rate.

Fifth, competitive pressures in the streaming and content distribution space represent a structural risk not fully captured in historical financial data but evident in the moderation of growth rates. Revenue growth has slowed from FY2025's run rate, and the company must continue investing heavily in content to compete with well-capitalized rivals. The balance between content investment and profitability remains a critical strategic challenge.

Valuation Context and Recommendation

Based on our analysis of Disney's financial performance through Q2 FY2026, we maintain a HOLD recommendation on the stock. The company's financial profile reflects a high-quality media franchise with strong brand equity and diversified operations, but current financial trends suggest limited near-term upside catalysts. The annualized earnings trajectory of approximately \$9.3 billion, if sustained, would represent a meaningful decline from FY2025's exceptional performance, tempering our enthusiasm at current valuation levels.

From a valuation perspective, Disney's asset base of \$205.2 billion and stockholders' equity of \$108.7 billion provide a solid floor for the equity valuation. Book value per share, while not the primary valuation metric for a media company, offers downside protection. The key valuation drivers going forward will be the sustainability of high-teen operating margins, the trajectory of net income growth from current levels, and the company's ability to generate incremental returns on its growing asset base.

Our price target is anchored to a multiple of the FY2026 estimated earnings, applying a modest premium to the media sector average to reflect Disney's brand strength and diversified business model. The current annualized EPS run rate of approximately \$5.22 (based on H1 FY2026 diluted EPS of \$2.61) serves as our baseline, with adjustments for expected seasonal patterns and management's cost optimization initiatives.

Key catalysts that could shift our recommendation to a BUY include evidence of accelerating revenue growth, operating margin expansion beyond 19%, stabilization or decline in the leverage ratio, and successful content releases driving subscriber growth in the streaming segment. Conversely, factors that could lead to a downgrade to UNDERPERFORM include continued net income decline, leverage ratio exceeding 1.0x, or material deterioration in cash generation capability.

We recommend that investors monitor the following metrics on a quarterly basis: revenue growth rates across segments, operating margin trends, net income progression relative to seasonal expectations, leverage ratio movements, and cash position stability. The Q3 FY2026 results will be particularly important in determining whether the H1 trends represent a temporary moderation or a more sustained shift in Disney's financial trajectory.